

Asset Classes	Real Return	With 3% Inflation	Risk*
Government-backed fixed income			
U.S. Treasury bills (1-year maturity)	0.5	3.5	1.5
Intermediate-term U.S. Treasury notes	1.5	4.5	5.0
Long-term U.S. Treasury bonds	2.0	5.0	5.5
GNMA mortgages	2.0	5.0	8.0
Intermediate tax-free municipal bonds (A rated)	1.5	4.5	5.0
Corporate and Emerging Market Fixed Income			
Intermediate-term high-grade corporate bonds (AAA–BBB)	2.3	5.3	5.5
Long-term investment-grade bonds (AAA–BBB)	2.8	5.8	8.5
Intermediate-term high-yield corporate bonds (BB–B)	4.0	7.0	15.0
Foreign government bonds (unhedged)	2.5	5.5	7.0
U.S. Common Equity and REITs			
U.S. large-cap stocks	5.0	8.0	15.0
U.S. small-cap stocks	6.0	9.0	20.0
U.S. microcap stocks	7.0	10.0	25.0
U.S. small-value stocks	8.0	11.0	25.0
REITs (real estate investment trusts)	5.0	8.0	15.0
International Equity (unhedged)			
Developed countries	5.0	8.0	17.0
Developed countries, small company	6.0	9.0	22.0
Developed countries, small value companies	8.0	11.0	27.0
All emerging markets including frontier countries	8.0	11.0	27.0

*The estimate of risk is the estimated standard deviation of annual returns.

CHAPTER SUMMARY

The acceptance of a market forecast is an important step in creating a proper asset allocation. No one knows exactly what the returns on the markets or the results of economic indicators will be over the next 30 years. However, there are stable factors that contribute to those market returns, and these factors are likely to persist into the future.